4 Provide Additional Flexibility in Delivering the Notice of Internet Availability Section 2520.104b-31(d)(4) requires that the notice of internet availability be furnished electronically. Section 2520.104b-31(g) requires the initial notification of default electronic delivery and right to opt-out be provided in paper version. For continued reliance, 2520.104b- 31(d)(4) requires an annual notice of “internet” availability be furnished “electronically” to “the address” described in the “covered individual” definition. Further, Footnote 60 states that the proposed safe harbor would, if adopted “supersede the relevant portions of FAB 2006-03.”[10] “Internet” - With respect to the provision s use of the term “internet,” while the “internet” may be the infrastructure by which information is electronically transmitted and received, that term may be viewed as limiting. The information could be conveyed and accessible through a web-based application on a smartphone or other connected device that permits the user to access information without the need to access a website via a web browser. We recommend the final rule include more flexible language regarding the electronic medium or mediums by which the “covered individual” can access the information. “Field Assistance Bulletin 2006-3” - With respect to the requirements associated with both the initial and subsequent Notice of Internet Availability, we recommend additional flexibility for plan administrators. Field Assistance Bulletin (“FAB”) 2006-3 permits the furnishing of such a notice in a manner permitted under Internal Revenue Code section 1.401(a)-21 (“Treasury Regulation”). For ACLI members that provide administrative services to ERISA plans, many of their plan sponsor customers rely on FAB 2006-3 for the furnishing of quarterly plan benefit statements. We note that a paper approach prescribed for the initial notice is one of the approaches permitted under the Treasury Regulation. In addition to paper, the Treasury Regulation permits such notices to be made electronically when the electronic medium used to provide the notice is a medium that the recipient has the effective ability to access. The Proposed Rule should be amended to permit plan administrators the option to provide an initial notice or subsequent notices either electronically or on paper. The guidance set forth in FAB 2006-03 and in the proposal at paragraph (g) is reasonable and has been used for more than a decade. We are not aware of any controversy regarding its use or any adverse impact on plan participants. For many plan sponsors, a shift to a paper approach for initial notices or an electronic only approach for subsequent notices will come at a cost. If the Department determines not to amend section 2520.104b-31(d)(4) to provide such additional flexibility, we urge the Department to provide at least two years from the effective date of any supersession of prior disclosure-related guidance during which plan sponsors and service providers may rely on the prior guidance to provide time to make any necessary changes to administrative systems. “Multiple Electronic Addresses” - With respect to the phrase “the address,” while it is possible that a plan administrator will have but one electronic address for a covered individual, they may have more than one. For example, a plan administrator may have a covered individual’s 10 84 Fed. Reg. 56900.